CARLYLE

Carlyle Direct Lending

Carlyle Direct Lending Fund ("CDLF") Overview

July 2024

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CARLYLE

SECTION 01

Carlyle Introduction

Carlyle Firm Overview[1]

Firm Overview

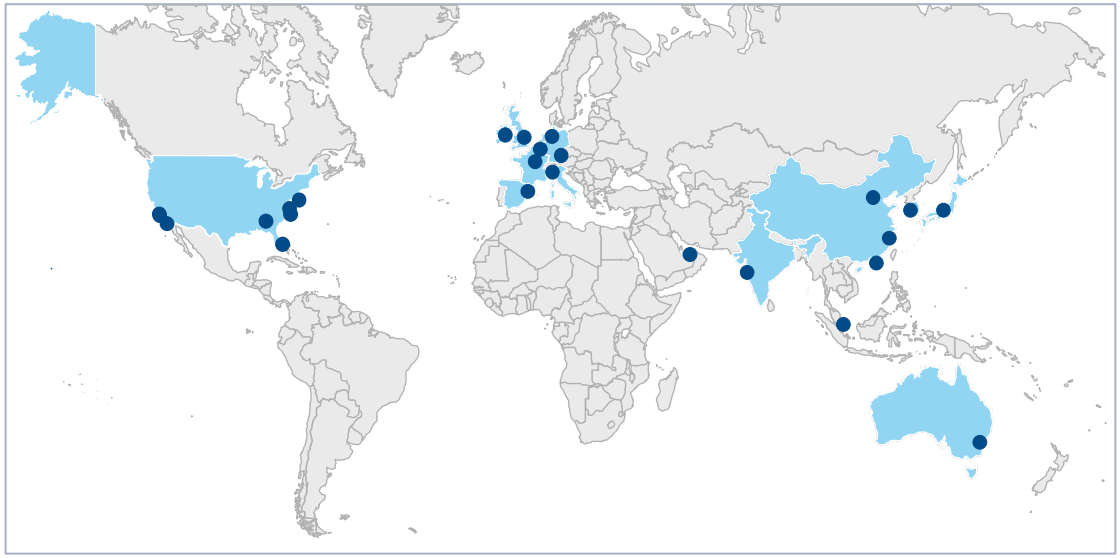
Founded:	1987
AUM:	$425 bn
Employees:	2,200+
Investment Professionals:	700+[2]
Offices / Countries:	28 / 16

Global Credit	**$186 bn AUM[3]**	*200+ investment professionals[4]*
Global Private Equity	**$159 bn AUM**	*400+ investment professionals*
Global Investment Solutions	**$80 bn AUM**	*90+ investment professionals*

The Carlyle Edge

- ✓ **Reach:** "One Carlyle" Global Network
- ✓ **Expertise:** Deep Industry Knowledge
- ✓ **Impact:** Executive Operations Group
- ✓ **Data:** Portfolio Intelligence

Global Investment Platform



1) Firm data as of March 31, 2024. 2) Total includes Investment Professionals in the Executive Group. 3) Carlyle Global Credit AUM includes $79.1 billion of insurance related assets. 4) Includes 10 professionals in the Carlyle Global Capital Markets group. Note: AUM numbers may not sum to total due to rounding. Certain communications between Carlyle Global Credit and investment professionals in other business segments may be restricted in accordance with Carlyle's information barrier policy. **Past performance is not indicative of future results and there can be no assurance that any trends will continue.**

Carlyle Global Credit Platform

CARLYLE GLOBAL CREDIT – $186BN AUM[1]

LIQUID CREDIT *AUM: $51.3 billion*		PRIVATE CREDIT *AUM: $25.8 billion*		REAL ASSETS CREDIT *AUM: $17.0 billion*		ASSET-BACKED FINANCE *AUM: $7.0 billion*	
CLO MANAGEMENT	Carlyle managed CLOs (broadly syndicated senior secured bank loans)	DIRECT LENDING	Directly originated loans, primarily first lien and financial sponsor-backed	AVIATION FINANCE	Commercial aircraft leasing / servicing and securitization of aircraft portfolios	IG DEBT	Directly originated, privately structured asset-backed solutions, focused on acquiring or lending against diversified pools of collateral with contractual cash flows
CLO INVESTMENT	Equity and debt CLO tranches	OPPORTUNISTIC CREDIT	Directly originated private capital solutions primarily for non-sponsored companies	INFRASTRUCTURE CREDIT	Credit investments in U.S. and international infrastructure assets	NON-IG DEBT	
REVOLVING CREDIT	Senior secured revolving credit facilities of non-IG issuers	HYBRID CAPITAL	Flexible mandate across credit-oriented solutions, structured equity, and stressed / dislocated investments	REAL ESTATE CREDIT	Lending to global real estate projects	RESIDUAL / EQUITY	

PLATFORM INITIATIVES
AUM: $85.1 billion[1]

CARLYLE TACTICAL CREDIT FUND	CROSS-PLATFORM SMAs	ADVISORY CAPITAL
Closed-end Interval fund investing dynamically across Carlyle's entire credit platform	Tailored separate accounts investing across the credit platform	Credit assets sub-advised for insurance platform

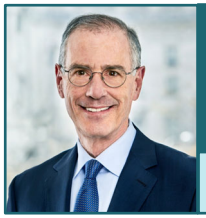
Source: The Carlyle Group. As of March 31, 2024 unless otherwise stated. 1) Carlyle Global Credit and Platform Initiatives AUM includes $79.1 billion of insurance related assets. **Past performance is not indicative of future results and there can be no assurance that any trends will continue.**

Investment Culture Driven by Senior Leadership with Diverse Perspectives

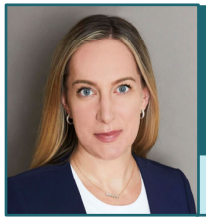
Mark Jenkins
Head of Global Credit
34 years of industry Experience

Justin Plouffe
Deputy CIO of Global Credit
23 years of industry experience

Alex Popov
Head of Private Credit
26 years of industry experience

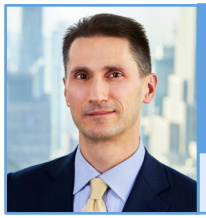


Bruce Rosenblum
Chair of Carlyle Conflicts and Allocations Committees
24 years of industry experience



Lauren Basmadjian
Global Head of Liquid Credit
23 years of industry experience

Michael Hadley
CIO of Direct Lending and Head of Underwriting
26 years of industry experience



Tom Hennigan
COO and CRO of Direct Lending
26 years industry experience

Andreas Boye
Co-Head of North America Credit Opportunities
20 years of industry experience

John Pavelski
Co-Head of North American Credit Opportunities
25 years of industry experience

Taj Sidhu*
Head of European & Asian Private Credit
25 years of industry experience

Brian Marcus
Deputy Head of Cross Platform Investing
19 years of industry experience

Carlyle Direct Lending ("CDL") Senior Leadership

CARLYLE DIRECT LENDING 38 professionals	ORIGINATION AND UNDERWRITING 26 professionals	PORTFOLIO AND RISK MANAGEMENT 12 professionals
22 average years of industry experience among senior leadership	13 average years industry experience	15 average years industry experience

* Observer role.
Note: As of June 2024, unless otherwise stated. Investment Committee composition is subject to change as circumstances warrant. Average years of industry experience for senior leadership includes all Managing Directors and Partners. Average years of industry experience for origination and underwriting and portfolio and risk management functions includes Vice Presidents and above. There can be no assurance that any particular individual will be involved in the management of any portfolio for any given period of time, if at all.

CARLYLE

SECTION 02

Carlyle Direct Lending Platform Overview

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Carlyle Direct Lending Investment Philosophy & Overview

Carlyle Direct Lending seeks to operate in the middle market, utilizing an integrated platform sourcing approach

1. Focus on **performing, non-cyclical companies** with EBITDA of $25mn or greater, primarily backed by high-quality financial sponsors
2. Employ a rigorous and consistent **investment process** informed by the capability of the entire **Carlyle platform**
3. Target a defensive approach to lending via **disciplined underwriting** alongside a culture of prioritizing the "farming" of the portfolio vs. planting new seeds
4. Flexibility to pivot and complement core exposures with **complementary specialty lending** capabilities (e.g. ABL, ARR, non-sponsored, liquid loan, platform, etc.)
5. Seek to deliver **sustainable current cash income** from predominantly **first lien, secured, floating rate** instruments

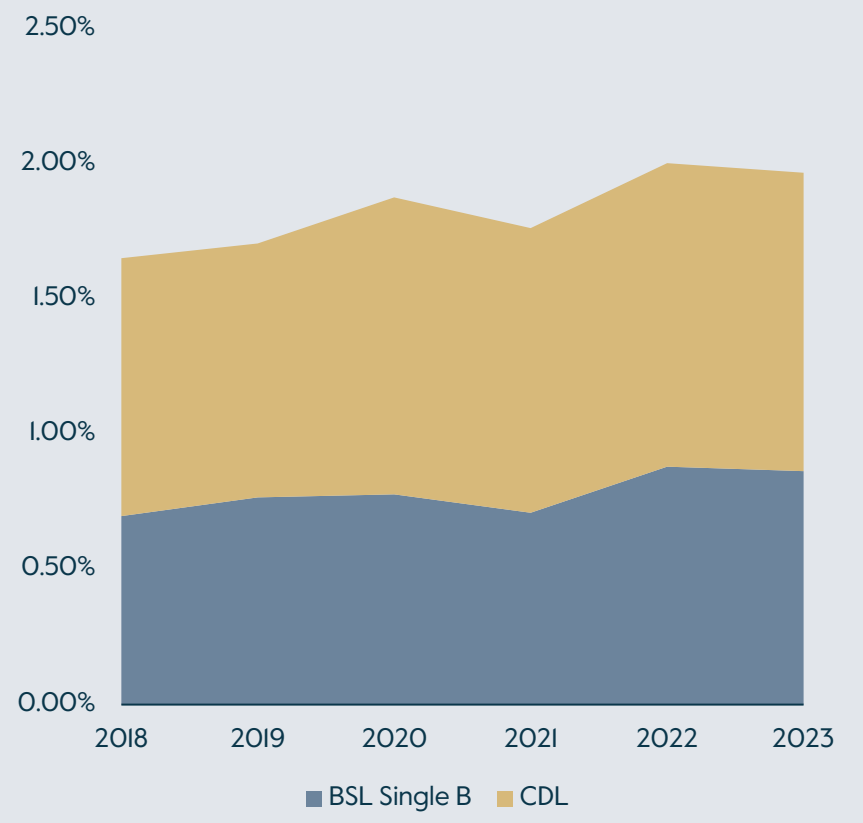
Note: Comments made here are based on Carlyle's subjective views. **Past performance is not indicative of future results.** There can be no assurance that a Fund will be able to achieve comparable results, implement its investment strategy or achieve its investment objective. No assurance is given that any trends will continue, that forecasts will ultimately materialize, or that investment opportunities will be available.

Direct Lending Historical Relative Value

Direct lending has historically offered higher absolute spreads relative to leveraged loans as well as higher risk-adjusted spreads when accounting for leverage

Weighted Average Spreads

Weighted Average Spreads Per Unit of Leverage

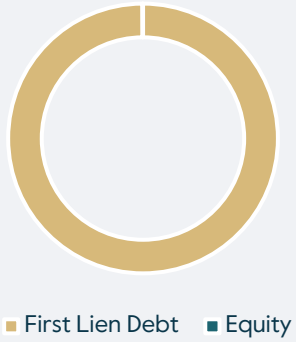


Provided for informational illustrative purposes only. No assurance is given that current market conditions and related trends will continue, or that Carlyle Direct Lending will benefit from any comparable or other favorable trends.
Source: Carlyle data, LCD Quarterly. As of December 2023. Carlyle data represents cash spread only and includes first lien investments in CSL, CARS, CSL III, and Carlyle Direct Lending SMAs. ABL and ARR transactions are not included. There is no guarantee the strategy will have similar characteristics or composition.

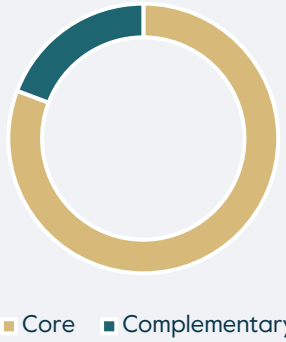
Carlyle Direct Lending Platform Originations Overview

LTM Q4 2023 SUMMARY ORIGINATIONS PROFILE[1]

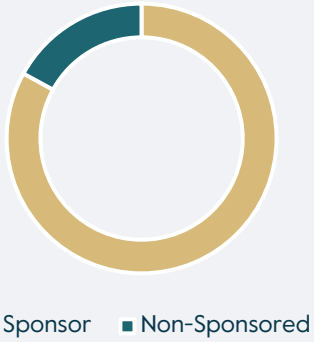
Asset Type



Core / Complementary



Sponsored



Region

New / Add-On

NOTABLE METRICS[2]	
Floating Rate (%)	100%
Control Positions (%)	81%
Call Protection (%)	87%
Covenants (%)	88%
Average Spread	6.7%
Average OID	2.3%
Average LTV	36%

Note: **Past performance is not a guarantee or indicator of future results.**
Source: The Carlyle Group. As of December 31, 2023 unless otherwise stated.

1. Figures include investments in CSL, CARS, CSL III, CDLF, and Carlyle Direct Lending SMAs and CLOs. There is no guarantee the strategy will have similar characteristics or composition. Portfolio metrics are shown at origination. Calculations provided on a weighted average basis.
2. Represents data for new loan originations and existing / add-on transactions, and excludes equity and preferred equity investments. Where applicable, other investments are also excluded where metrics have been deemed not relevant. Calculations are provided on a weighted average basis where applicable.

Carlyle Integrated Platform Capabilities in Direct Lending

We believe the benefits from Carlyle's integrated platform are observable at all stages through the life cycle of an investment

CARLYLE DIRECT LENDING INVESTMENT STAGES

ORIGINATION	UNDERWRITING	PORTFOLIO MANAGEMENT
Access to "OneCarlyle" network including corporate private equity deal teams, operating executives, and portfolio companies **400+ GPE investment professionals, 46 operating executives and ~300 active portfolio companies** accessible across Carlyle's platform	**Sector group alignment** across private equity, global credit and real assets investment teams facilitates cross-collaboration **Technology resources** including portfolio company survey tools, datasets, etc. allow for primary research generation and greater investment conviction	**Dedicated Portfolio Management Group** within Global Credit helps maximize value in the event of unexpected credit outcomes **Global Investment Resources** team engages with portfolio companies and seeks to improve business operations and optimize value

We believe our platform's breadth, network, resources, and expertise differentiate Carlyle's abilities in sourcing, underwriting and portfolio management

Note: As of March 31, 2024 unless otherwise stated. Represents illustrative examples of origination, portfolio management and underwriting capabilities. Certain communications between Carlyle Global Credit and investment professionals in other business segments may be restricted in accordance with Carlyle's information barrier policy.

CARLYLE

SECTION 03

Historical Performance

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Carlyle Direct Lending Comingled Offerings

Carlyle Direct Lending offers multiple solutions for investors across the risk-return spectrum

PRIVATE LP-GP FUND

Carlyle Direct Lending Fund ("CDLF")
Target Net Return: ~6-8%; ~10-12%[1]

- Evergreen, open-ended fund offered in LP-GP structure with size-based and early bird fee discounts available
- Delaware (levered and unlevered), Cayman Islands (levered) and Luxembourg (unlevered) structures available
- Offered principally to institutional investors
- Inception date of July 2022

BUSINESS DEVELOPMENT COMPANIES ("BDCs")

Carlyle Secured Lending ("CSL")
Carlyle Credit Solutions ("CARS")
Carlyle Secured Lending III ("CSL III")

- 40-Act regulated vehicle with relatively tax efficient structures
- **CSL:** Listed BDC (NASDAQ: CGBD)
- **CARS:** Private perpetual BDC with quarterly liquidity offered via tenders
- **CSL III:** Private-to-public BDC with limited interim liquidity up until potential merger or IPO

CUSTOMIZED SOLUTIONS

- SMA solutions for sizable institutional investors with tailored target assets, diversification thresholds, leverage levels, etc.
- IMAs, CLOs and other ratings-optimizing structures

Note: As of March 31, 2024 unless otherwise stated. Illustrative and subject to change.

1. Target returns shown for unlevered and levered offerings respectively. There can be no assurance that target returns will be achieved, and actual returns may vary significantly. The Target Net Return is based on Carlyle's belief about the returns that may be achievable on investments that the Fund intends to pursue in light of Carlyle's and its professionals' experience with similar investments historically, its view of current market conditions, potential investment opportunities Carlyle is currently or has recently reviewed, availability and use of financing and certain assumptions about investing conditions and market fluctuation or recovery over a five year holding period, reflecting reasonable assumptions on fees and expenses including: an annual management fee of 1.25% on gross assets (equates to 2.50% on equity commitment at 1:1 leverage), which is the highest management fee charged by any investor in the fund, and an annual fee of approximately 0.70% in partnership expenses. While the Fund expects to generate returns from each of these components in the aggregate, the components for each individual investment may vary depending on the transaction situation and current market conditions. Gross returns do not reflect any carried interest, management fees, taxes, transaction costs and other expenses to be borne by certain and/or all investors, which will reduce returns and, in the aggregate, are expected to be substantial.

Carlyle Direct Lending Comingled Fund-Level Track Record

Business Development Companies ("BDCs")									
FUND NAME	VINTAGE	AUM	ILLUSTRATIVE STRATEGY[5]	ILLUSTRATIVE LEVERAGE[1]	CURRENT DIVIDEND YIELD[2]	ANNUALIZED NET TOTAL RETURN			
						1-YEAR	3-YEAR	5-YEAR	SI
CSL III	2022	$481 million	70% First Lien / 30% Junior	0.8x	10.3%	17.9%	N/A	N/A	13.4%
CARS	2017	$1,909 million	85% First Lien / 15% Junior	0.8x	10.3%	11.4%	10.4%	9.7%	9.8%
CSL	2017[3]	$1,885 million	70% First Lien / 30% Junior	1.0x	11.3%	12.4%	15.4%	13.6%	11.0%

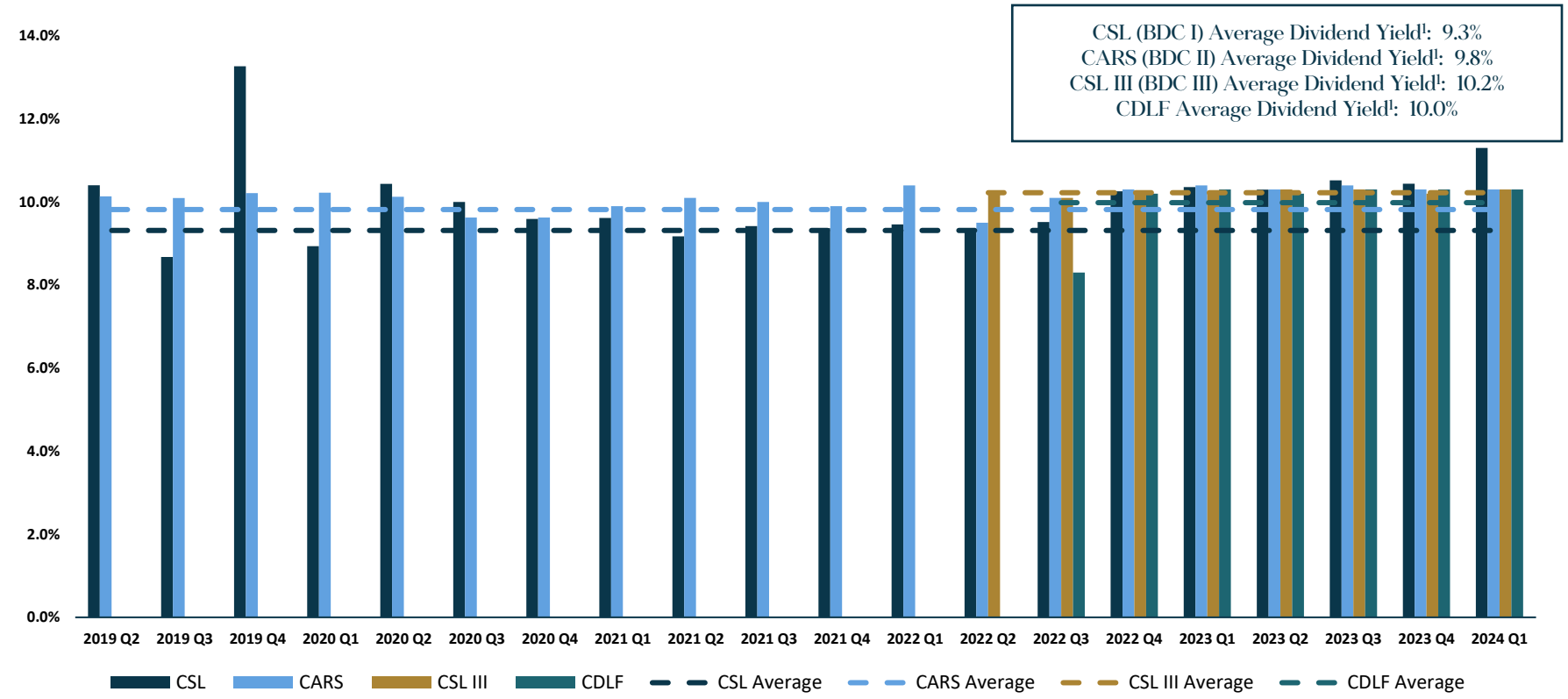
Private Comingled Fund						
FUND NAME	VINTAGE	AUM	ILLUSTRATIVE STRATEGY[5]	ILLUSTRATIVE LEVERAGE[1]	CURRENT DIVIDEND YIELD[2]	SINCE INCEPTION NET IRR
CDLF[4]	2022	$1,072 million	85% First Lien / 15% Junior	0.8x (Levered)	10.3% (Levered)	20.2% (Levered)

Note: **Past performance is not a guarantee or indicator of future results.** Individual investors' performance may differ depending on subscription date, capital called dates and dividends paid. As of March 31, 2024 unless otherwise stated. Each vehicle shown above may have different portfolio compositions, leverage ratios and expense profiles. The internal rates of return ("IRR") reflected herein reflect fund-level cash flows. Net IRRs are calculated based on the timing of contributions from, and distributions to, the investors after management fees, expenses and incentive fees. The annualized net total return reflected herein is calculated as the change in NAV plus dividends over the applicable periods, presented on an annualized basis. Annualized net total returns assume reinvestment of any dividends. All performance shown reflects the use of the use of a line of credit if applicable.

1. Illustrative Leverage represents the average leverage since inception. For CDLF, represents the average leverage since inception of the onshore levered vehicle only.
2. Reflects annualized net dividend yields as of Q1 2024. Annualized dividend yield for CARS, CSL III and CDLF is calculated by dividing the declared dividend by the weighted average of the net asset value at the beginning of the quarter and the capital called during the quarter and annualizing over four periods. Annualized dividend yield for CSL is calculated by dividing the declared by the most recent period NAV and annualizing over four periods. CDLF current dividend yield shown for the onshore levered offering.
3. CSL since inception returns shown since IPO date of June 2017. As CSL is a listed BDC, annualized net total return metrics covering time periods following the IPO (i.e. time periods post June 2017) reflect change in NAV plus dividends assuming dividends and distributions are reinvested in accordance with the Fund's dividend reinvestment plan. Leverage represents average leverage since inception. CSL gross and net IRRs since pre-IPO inception date of October 2013 through March 31, 2024 are 11.9% and 7.5% respectively.
4. All metrics for CDLF reflect the onshore levered vehicle unless otherwise noted.
5. Illustrative investment strategy based on each respective funds' / mandates' investment guidelines relating to asset mix.

Carlyle Direct Lending Net Dividend Yield Track Record

Annualized Net Dividend Yield[1]



As of March 31, 2024 unless otherwise noted.

Note: Historical dividend data for dividends declared prior to the period shown are available on CSL's website at carlylesecuredlending.com No dividend was declared in 2013. There can be no assurance that CSL or CARS will continue to achieve comparable results. CSL gross and net IRRs calculated from initial close through March 31, 2024 are 11.9% and 7.5% respectively. CARS gross and net IRRs calculated from initial close through March 31, 2024 are 12.6% and 9.6% respectively. CSL III gross and net IRRs from initial close through March 31, 2024 are 18.7% and 15.9%, respectively. CDLF (onshore) gross and net IRRs from initial close through March 31, 2024 are 23.2% and 20.2% respectively. **Past performance is not indicative of future results.**

1. Annualized dividend yield for CARS, CSL III and CDLF is calculated by dividing the declared dividend by the weighted average of the net asset value at the beginning of the quarter and the capital called during the quarter and annualizing over four periods. Dividend yield shown for CDLF represents the onshore fund. Annualized dividend yield for CSL is calculated by dividing the declared dividend in any given quarter by the net asset value at the beginning of the quarter and annualizing over four periods. Dividend yields are shown for the last five years and averages are shown from inception-to-date.

CARLYLE

SECTION 04

CDLF Portfolio Construction, Structure and Terms

Strictly Confidential

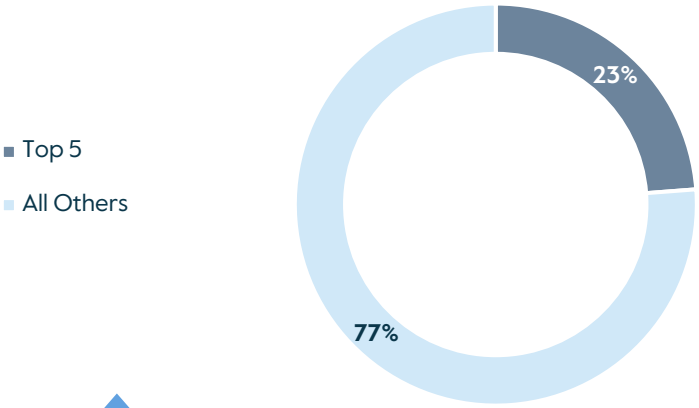
Carlyle Direct Lending Fund Overview

STRUCTURE	Open-ended structure efficiently allows maintenance of targeted allocation
REDEMPTION OPTIONS	Availability of quarterly and annual redemption options can facilitate improved liquidity management
FEES	Appropriate fee construct aligned around capital preservation, not yield maximization
TARGET RETURNS[1]	Target approximately ~6-8% unlevered and ~10-12% levered net returns, with availability of quarterly distributions

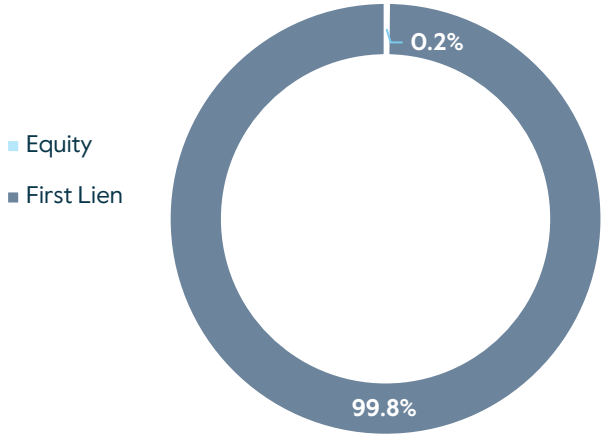
Note: For illustrative and informational purposes only; may be subject to change. Past performance is not a guarantee or indicator of future results.
1. Target returns shown for unlevered and levered offerings respectively. There can be no assurance that target returns will be achieved, and actual returns may vary significantly. The Target Net Return is based on Carlyle's belief about the returns that may be achievable on investments that the Fund intends to pursue in light of Carlyle's and its professionals' experience with similar investments historically, its view of current market conditions, potential investment opportunities Carlyle is currently or has recently reviewed, availability and use of financing and certain assumptions about investing conditions and market fluctuation or recovery over a five year holding period, reflecting reasonable assumptions on fees and expenses including: an annual management fee of 1.25% on gross assets (equates to 2.50% on equity commitment at 1:1 leverage), which is the highest management fee charged by any investor in the fund, and an annual fee of approximately 0.70% in partnership expenses. While the Fund expects to generate returns from each of these components in the aggregate, the components for each individual investment may vary depending on the transaction situation and current market conditions. Gross returns do not reflect any carried interest, management fees, taxes, transaction costs and other expenses to be borne by certain and/or all investors, which will reduce returns and, in the aggregate, are expected to be substantial.

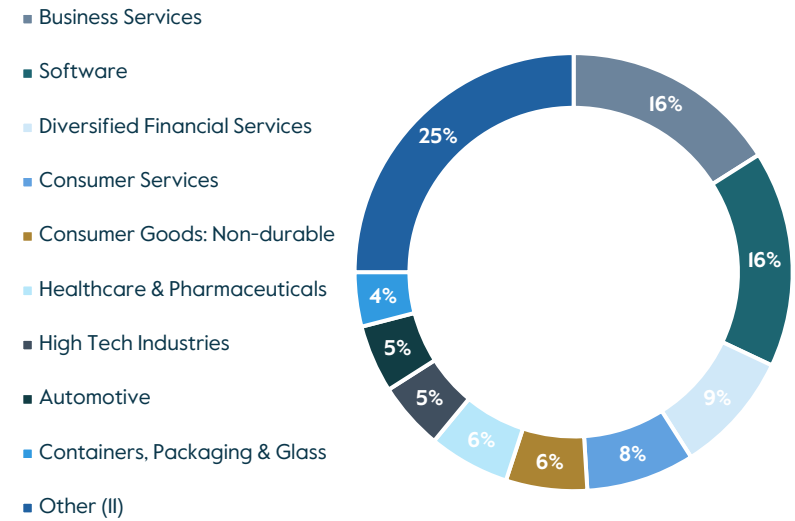
CDLF Onshore Portfolio Summary

Portfolio Statistics	3/31/2024
Total Funded Debt Investments at Par ($MM)	$249
Total Unfunded Debt Investments at Par ($MM)	$66
Total Investments at Fair Value ($MM)	$248
Number of Investments	74
Number of Portfolio Companies	66
Floating / Fixed[1] (%)	100% / -



KEY STATISTICS | ASSET MIX[1] | DIVERSIFICATION BY BORROWER | INDUSTRY[1]





As of March 31, 2024. Some numbers may not total due to rounding.

1. Based on portfolio fair value of debt investments.

Carlyle Direct Lending Fund: Illustrative Terms

ILLUSTRATIVE HIGH-LEVEL TERMS

STRUCTURE

- Open-ended fund, evergreen
- Delaware limited partnership for U.S. investors ("Onshore")
- Luxembourg domiciled vehicle for non-U.S. investors eligible for benefits under an income tax treaty ("Treaty")
- Cayman domiciled vehicle for non-U.S. investors ineligible for treaty benefits (subject to seasoning) ("Offshore")

SUBSCRIPTIONS

- Accepts subscriptions on a periodic basis via ongoing closes
- Target 2-year investment period to full deployment for each close

MANAGEMENT FEE

- 125 bps on gross assets
- Founders' management fee rate of 85 bps on gross assets for Treaty fund (unlevered) only[1]
- Additional size discounts available as follows:

Size	$50+ million	$100+ million	$150+ million	$200+ million	$250+ million
Discount	5 bps	15 bps	20 bps	25 bps	30 bps

PERFORMANCE FEE

- No performance fee

LEVERAGE

- Levered: target 1.0x debt to equity
- Unlevered: none (leverage not to exceed 50% of CDLF's NAV at time incurred)

DISTRIBUTION POLICY

- Distributes substantial majority of interest income on a quarterly basis
- Dividend reinvestment program (DRIP) available

LOCK-UP

- 2 years, investor-level

REDEMPTIONS

- **Option 1:** 90-day notice period with redemption at NAV on quarterly basis, subject to availability of matching subscriptions and unfunded commitments
- **Option 2:** 180-day notice prior to calendar year-end, with cash received as investments are realized via a run-off sleeve

Illustrative and subject to change. The information presented above is a summary of CDLF's principal terms only, is not intended to describe all material terms of CDLF and is qualified in its entirety by reference to CDLF's Amended and Restated Limited Partnership Agreement (the "Partnership Agreement"), a copy of which will be provided to recipients upon request. In the event that the terms described herein are inconsistent with or contrary to the terms of the Partnership Agreement, the Partnership Agreement will control. The Partnership Agreement contains additional material terms that are not included in this summary. 1. These fees are available on the first $500mn of equity commitments raised or until December 31, 2024, whichever comes sooner. Size discounts do not apply to the Founders' management fee rate.

CDLF Redemption Mechanics

QUARTERLY OPTION

Day 1

of initial investment

INVESTOR HARD LOCK 2 YEARS

2 Years

REDEMPTION REQUEST (90-DAY NOTICE)

2 Years & 3 Months

REDEMPTIONS MATCHED BY INBOUND SUBSCRIPTIONS OR UNFUNDED COMMITMENTS AT NAV

Additional partial payments (only if full redemption is not completed)

ANNUAL OPTION

Day 1

of initial investment

INVESTOR HARD LOCK 2 YEARS

2 Years

REDEMPTION REQUEST (180-DAY NOTICE)

Subsequent year-end following 2-year hard lock and 180-day notice period

RUN-OFF SLEEVE SET UP WITH PRO-RATA CASH PROCEEDS FROM INCOME AND PRINCIPAL REPAYMENTS

Realized cash proceeds over time with hypothetical estimated payout period of ~3 years

For illustrative purposes only.
Note: There can be no guarantee that the strategy will be able to implement or achieve its investment strategy or proposed terms. These statements reflect the subjective views of Carlyle Direct Lending.

CARLYLE

SECTION 05

Appendix

Underwriting Process Overview

Led by a team of senior underwriters verticalized by sector. We believe we benefit from a deep, differentiated knowledge base enabled by Global Credit platform integration and OneCarlyle resources

TYPICAL DEAL TIMELINE: 60-90 DAYS

1. SCREENING	2. FORMAL REVIEW	3. FINAL INVESTMENT COMMITTEE	4. CLOSING
• Review marketing materials and industry reports • Compile debt and equity comps • High level cash flow model and downside case • Initial *OneCarlyle* outreach • Identify key credit strengths and risks • Formulate view on structure	• Compile detailed diligence list • Meet management team • Review data room and perform key financial analysis • Create detailed financial model & sensitize across multiple scenarios • Review sell-side materials, including industry reports and accounting / financial diligence • Fulsome *OneCarlyle* and expert network outreach • Drafting of full commitment papers and term sheet	• Final third-party industry work • Final quality of earnings report • Final tax diligence • Legal due diligence • Insurance and HR review • IT due diligence • Background checks • ESG and regulatory due diligence • Drafting of definitive legal documentation	• Sponsor / borrower legal diligence • KYC • Finalize negotiation of definitive legal documentation
✓ Decision to move forward or not ✓ Initial screening memo ✓ Provide high-level feedback verbally or via non-binding "businessperson's term sheet"	✓ Re-screen with key investment committee members with fulsome memo (1-3 times) ✓ Provide full term sheet and commitment papers, subject to outstanding diligence items	✓ Final Investment Committee with final, complete memo ✓ Provide executed commitment papers with limited conditionality	✓ Provide investment committee with any updates on transaction, including summary of final legal documentation ✓ Closing memo

Note: as of March 2024. For illustrative purposes only; may be subject to change. These statements reflect the subjective views of Carlyle Direct Lending.

Portfolio and Risk Management Overview

MONITORING PROCESS

The investment team views proactive portfolio monitoring as a vital part of its investment process, which includes the continuous review of a borrower by the portfolio management and underwriting teams, with multiple layers of risk review and oversight

The portfolio management process involves a variety of ad-hoc and scheduled reviews that allow for early detection of issues and escalation to the investment committee and workout team with a goal of mitigating credit losses

Credit Events Meeting	Forward Covenant Breach Analysis	Free Cash Flow / Interest Analysis	Valuation / Risk Ratings Process	Quarterly Portfolio Reviews
Weekly meeting for deal teams to report any recent credit events for borrowers Examples of reported credit events include reporting of quarterly financials, changes in senior management, ratings changes, revolver activity, etc. Analysis focused on how each credit event may impact the team's credit view	Quarterly forward-looking analysis of covenant headroom to identify any potential future breaches Allows the team to work proactively to ensure conservative capital management and seek maximization of value	Quarterly sensitivity analysis of borrowers' free cash flow and debt service coverage ratios to proactively identify any potential liquidity concerns Analysis considers a variety of scenarios including various interest rate environments and EBITDA impacts from varying economic climates	Quarterly valuation and internal risk ratings for all investments Valuations are subject to a multi-review process, including deal team review, finance team review, and the direct lending valuation committee Portfolio valuations are reviewed by a third-party specialist quarterly with each investment reviewed at least once on a rolling 12-month basis	Quarterly formal portfolio reviews with individual credit analysis, detailed portfolio construction analysis and risk monitoring inputs Focused on technical analysis of migration of financial performance and portfolio diversification Forum for reaffirming or updating the internal risk rating
Weekly	Quarterly	Quarterly	Quarterly	Quarterly

Note: For illustrative and informational purposes only; may be subject to change.

Portfolio and Risk Management Overview (cont.)

VALUATION	• Our sound valuation framework exercises **rigorous oversight**, including both internal and external independent review - our valuations are consistently amongst the most conservative amongst our peers • In accordance with the valuation policy, portions of middle market loan and equity portfolio are reviewed **by a third-party specialist quarterly** with each loan and equity investment reviewed at least once on a rolling 12-month basis
ALLOCATION	• Our investment allocation policy addresses how **investment opportunities are to be allocated** among different funds if more than one fund has overlapping investment objectives
LIABILITY MANAGEMENT	• Carlyle Direct Lending has significant experience managing pools of capital that use leverage, and can benefit from **deep-rooted relationships with the lending community** • **Flexible and diverse financing sources**, including an ability to extract beneficial terms and conditions, are critical to managing liquidity
WORKOUTS	• When necessary, Carlyle Direct Lending can leverage the **capabilities of its dedicated workout team**, which comes with significant experience in workouts, restructurings, turnarounds and bankruptcies • **Enhanced recoveries** are possible by applying best practices rapidly acting on challenged credits

Note: For illustrative and informational purposes only; may be subject to change.

ESG Integration in Credit

Carlyle has deep ESG capabilities embedded in our investment process which provide an additional lens to mitigate risk and identify opportunities

PRIMARY FOCUS

In credit, ESG factors are most relevant for identifying and assessing potential downside risks. ESG issues can affect a host of business dimensions – from operational continuity to litigation or regulatory risk – which could negatively impact a borrower's ability to repay debt.

DEDICATED ESG TEAM

Our in-house ESG team works closely with the deal teams and may also draw upon external ESG expertise in assessing specific risks.

BESPOKE APPROACH

As the materiality of ESG factors varies across asset classes, time horizons, geographies, industries, and companies, we take a bespoke approach to integrating ESG in order to optimize long-term value creation.

INVESTMENT EXCLUSIONS AND PARAMETERS POLICY

In order to appropriately consider ESG issues which may be a gating factor for investments, we formalized an Investment Exclusions and Parameters Policy. This policy illustrates certain types of companies that we will seek to avoid investing in or financing.

ESG TOOLS AND ANALYSIS

We developed a proprietary ESG Materiality Analysis Tool, derived from SASB* data and country-level ESG risk data. It highlights the most important ESG risks which may impact pricing and/or risk of default and drives the due diligence process.

INVESTMENT DECISIONS

We aim to perform an ESG Materiality Analysis for all new direct investments our Investment Committee considers and include a summary of the ESG analysis in the Investment Committee memorandums, where applicable.

* Sustainability Accounting Standards Board.
Note: For illustrative and informational purposes only; may be subject to change. All the above stated principles may not necessarily apply to Carlyle Direct Lending.

Carlyle Direct Lending Fund-Level Track Record

Business Development Companies ("BDCs")

FUND NAME	VINTAGE	AUM	ILLUSTRATIVE STRATEGY[6]	ILLUSTRATIVE LEVERAGE[1]	CURRENT DIVIDEND YIELD[2]	ANNUALIZED NET TOTAL RETURN			
						1-YEAR	3-YEAR	5-YEAR	SI
CSL III	2022	$481 million	70% First Lien / 30% Junior	0.8x	10.3%	17.9%	N/A	N/A	13.4%
CARS	2017	$1,909 million	85% First Lien / 15% Junior	0.8x	10.3%	11.4%	10.4%	9.7%	9.8%
CSL	2017[4]	$1,885 million	70% First Lien / 30% Junior	1.0x	11.3%	12.4%	15.4%	13.6%	11.0%

Private Comingled Fund

FUND NAME	VINTAGE	AUM	ILLUSTRATIVE STRATEGY[6]	ILLUSTRATIVE LEVERAGE[1]	CURRENT DIVIDEND YIELD[2]	SINCE INCEPTION NET IRR
CDLF[5]	2022	$1,072 million	85% First Lien / 15% Junior	0.8x (Levered)	10.3% (Levered)	20.2% (Levered)

Custom Mandates

FUND NAME	VINTAGE	AUM	ILLUSTRATIVE STRATEGY[6]	ILLUSTRATIVE LEVERAGE[1]	SINCE INCEPTION NET IRR
SMA VI	2023	$73 million	70% First Lien / 30% Junior	None	N/M[3]
SMA V	2020	$554 million	100% First Lien	None	10.3%
SMA IV	2018	$745 million	95% First Lien / 5% Junior	1.1x	10.6%
SMA III	2018	$72 million	100% First Lien	None	3.1%
SMA II	2017	$862 million	100% First Lien	1.2x	11.4%
SMA I	2017	$181 million	95% First Lien / 5% Junior	0.3x	8.4%

Note: **Past performance is not a guarantee or indicator of future results.** Individual investors' performance may differ depending on subscription date, capital called dates and dividends paid. As of March 31, 2024 unless otherwise stated. Each vehicle shown above may have different portfolio compositions, leverage ratios and expense profiles. The internal rates of return ("IRR") reflected herein reflect fund-level cash flows. Net IRRs are calculated based on the timing of contributions from, and distributions to, the investors after management fees, expenses and incentive fees. The annualized net total return reflected herein is calculated as the change in NAV plus dividends over the applicable periods, presented on an annualized basis. Annualized net total returns assume reinvestment of any dividends. All performance shown reflects the use of the use of a line of credit if applicable.

1. Illustrative leverage represents the average leverage since inception. For CDLF, represents the average leverage since inception of the onshore levered vehicle only.
2. Reflects annualized net dividend yields as of Q1 2024. Annualized dividend yield for CARS, CSL III and CDLF is calculated by dividing the declared dividend by the weighted average of the net asset value at the beginning of the quarter and the capital called during the quarter and annualizing over four periods. Annualized dividend yield for CSL is calculated by dividing the declared by the most recent period NAV and annualizing over four periods. CDLF current dividend yield shown for the onshore levered offering.
3. We believe the performance history of less than one year is not meaningful.
4. CSL since inception returns shown since IPO date of June 2017. As CSL is a listed BDC, annualized net total return metrics covering time periods following the IPO (i.e. time periods post June 2017) reflect change in NAV plus dividends assuming dividends and distributions are reinvested in accordance with the Fund's dividend reinvestment plan. Leverage represents average leverage since inception. CSL gross and net IRRs since pre-IPO inception date of October 2013 through March 31, 2024 are 11.9% and 7.5% respectively.
5. All metrics for CDLF reflect the onshore levered vehicle unless otherwise noted.
6. Illustrative investment strategy based on each respective funds' / mandates' investment guidelines relating to asset mix.

Risk Factors

Prospective investors should be aware that an investment in a Fund involves a high degree of risk, and it is suitable only for those investors who have the financial sophistication and expertise to evaluate the merits and risks of an investment in a Fund and for which a Fund does not represent a complete investment program. An investment in a Fund should only be considered by persons who can afford a loss of their entire investment. Prospective investors are urged to consult with their own financial, tax, and legal advisors about the implications of investing in a Fund. The following is a summary of only certain considerations and is qualified in its entirety by a Fund's offering materials, which may contain additional information about associated risks pertaining to an investment in a Fund.

Speculative Investment. Carlyle cannot provide any assurance that it will be able to choose, make or realize any particular investment, asset, or portfolio on behalf of a Fund. There can be no assurance that investments made by a Fund will be able to generate returns or that the returns will be commensurate with the risks of investing in the type of transactions described herein. The activity of identifying, completing and realizing upon attractive investments is highly competitive and involves a high degree of uncertainty. A Fund must compete for investments with other private equity investors having similar investment objectives. The portfolio companies in which a Fund may invest (directly or indirectly) are speculative investments and will be subject to significant business and financial risks.

Highly Illiquid and Difficult to Value. A Fund is intended for long-term investment by investors that can accept the risks associated with making highly speculative, primarily illiquid investments in privately negotiated transactions. There is no organized secondary market for investors' interests in a Fund nor is there an organized market for which to sell a Fund's underlying investments, and none is expected to develop. Withdrawal and transfer of interests in a Fund are subject to various restrictions, and similar restrictions will apply in respect of the Fund's underlying investments. Further, the valuation of a Fund's investments will be difficult, may be based on imperfect information and is subject to inherent uncertainties, and the resulting values may differ from values that would have been determined had a ready market existed for such investments, from values placed on such investments by other investors and from prices at which such investments may ultimately be sold.

Borrowed Money and Other Leverage. To the extent a Fund borrows money or otherwise leverages its investments, the favorable and unfavorable effects of price movements in a Fund's investments will be magnified. A Fund investment with substantial leverage may be at risk of increases in interest rates and therefore increases in interest expenses. In the event any Fund investment cannot generate adequate cash flow to meet debt service, a Fund may suffer a partial or total loss of capital invested in a Fund investment. The use of leverage will also magnify the volatility of changes in the value of a Fund's investments. While the use of leverage may increase a borrower's returns, it will also increase its exposure to risk. If a Fund uses borrowed funds in advance or in lieu of capital contributions, a Fund's investors generally make correspondingly later capital contributions, but a Fund will bear the interest expense on such borrowed funds. Borrowing by a Fund will generally be secured by capital commitments made by the Fund's investors and/or by a Fund's assets, and documentation relating to such borrowing may provide that during the continuance of a default under such borrowing, the interests of the investors may be subordinated to such Fund-level borrowing.

Investors in a Fund will bear multiple layers of fees and expenses. In general, a Fund's investors will bear the fees, expenses and carried interest of the Fund and will indirectly bear any fees, expenses and carried interest (if any) of the Fund's investments. Such amounts are expected to be material. This will result in greater expense to a Fund's investors than if such fees, expenses and carried interest were not charged by both a Fund and its underlying investments.

Investors Must Fulfill Capital Drawdown Obligations. Capital calls will be issued by a Fund from time to time. To satisfy such capital calls, investors may need to maintain a substantial portion of their capital commitment to the Fund in assets that can be readily converted to cash. An investor's obligation to satisfy capital calls will be unconditional and at its sole expense. Failure to satisfy a capital call to a Fund can result in adverse consequences in the discretion of the Fund's general partner, including complete forfeiture of the investor's interest in a Fund. If a limited partner of a Fund defaults on or is excused from its obligation to contribute capital to the Fund, other limited partners thereof may be required to make additional contributions to the Fund to replace such shortfall.

Risk Factors (cont.)

No Operating or Investment History. In general, a Fund will be a newly formed investment vehicle that has no operating history upon which investors can evaluate its likely performance.

No Registration. No Fund discussed herein has been or is expected to be registered with the SEC as an investment company pursuant to the Investment Company Act of 1940 (the "1940 Act"), in reliance upon an exemption available to privately offered investment companies. Accordingly, the provisions of the 1940 Act will not be applicable to a Fund. In addition, no such Fund has been or is expected to be registered with any regulatory or governmental authority as a regulated or registered fund in any European Economic Area member states. Furthermore, no such Fund is expected to be required to register under the Mutual Funds Law (as amended) of the Cayman Islands.

Complex Tax and Regulatory Risks. A Fund and a Fund's investments may involve a complicated tax structures and there may be delays in distributing important tax information to investors. In addition, legal, tax and regulatory changes (including changing enforcement priorities, changing interpretations of legal and regulatory precedents or varying applications of laws and regulations to particular facts and circumstances) could occur during the term of a Fund that may adversely affect any of such Fund or its investors.

Currency Risks. A Fund's base currency may be one that is different from an investor's home currency. For example, an investor based in the European Economic Area or the United Kingdom that commits to a Fund with a US Dollar base currency. Contributions to, and distributions from, the Fund will generally be required to be made in the Fund's base currency. Accordingly, changes in currency exchange rates, costs of conversion and exchange control regulations can adversely affect an investor's investment in a Fund, including the investor's cost of investing in a Fund.